BANK OF KOREA

Global Investment Surge and Korea

Economic Outlook for the Korean Economy (Sept 11, 2026)

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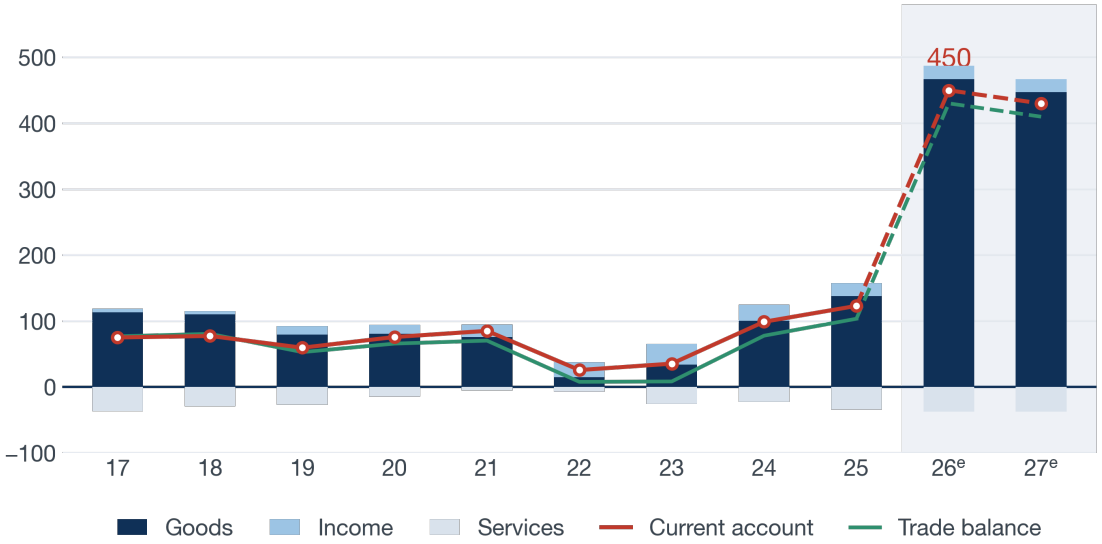
SECTION 01

Current Account

- CA surplus reached **USD 191bn** in H1 2026, already exceeding the full-year 2025 surplus
  - driven by the goods balance as AI-led chip demand meets constrained supply
- A record **USD 450bn** is projected for 2026, **up by USD 200bn** versus the May projection
  - 2026 CA/GDP is heading for **around 20%** and will eventually come down in the next few years

Current account and its components

USD bn, 2017–2027



Source: Bank of Korea. *Note*: Dashed lines and shading denote projections.

USD bn	2025	H1 2026	H2 2026e	**2026e**
Current account	**123.1**	**191.0**	**259.0**	**450.0**
May projection	—	151.5	98.5	250.0
Goods	138.1	193.8	273.3	**467.2**
Exports	709.3	496.1	604.6	1,100.7
Imports	631.9	358.7	403.7	762.4
Services	-34.5	-11.8	-25.2	**-37.0**
Income	19.5	8.9	10.8	**19.8**

Source: Bank of Korea, Korea Customs Service. *Note*: e denotes estimate.

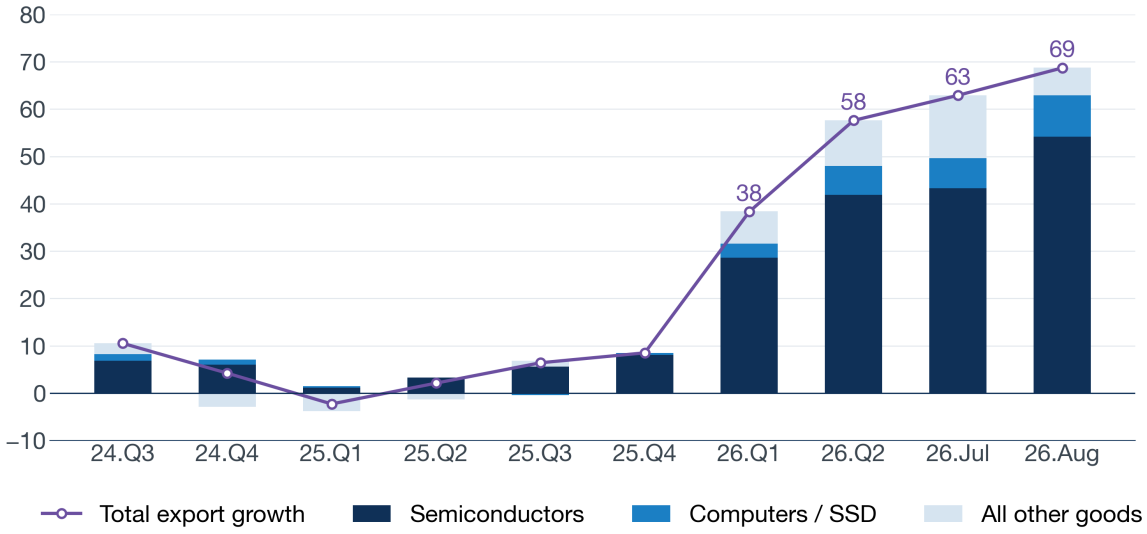
SECTION 02

Exports

- Exports are projected to rise sharply on **semiconductors**
  - Semiconductor and computer/SSD exports rose **209%** and **420%** y/y in August 2026
- The current chip cycle should remain in **expansion** if AI investment proceeds as expected

Contribution to export growth

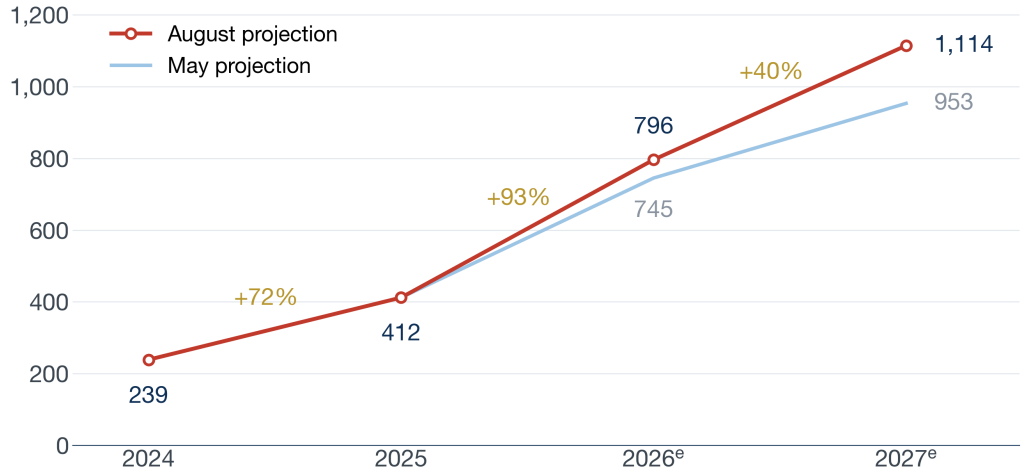
y/y %, pp



Source: Korea Customs Service, MOTIR. *Note*: Item groups follow Korea's MTI trade classific ation; August 2026 is preliminary.

US big-tech capital expenditure outlook

USD bn



Source: Bloomberg. *Note*: Consensus for Amazon, Microsoft, Alphabet, Meta and Oracle; August projection as of 13 August 2026.

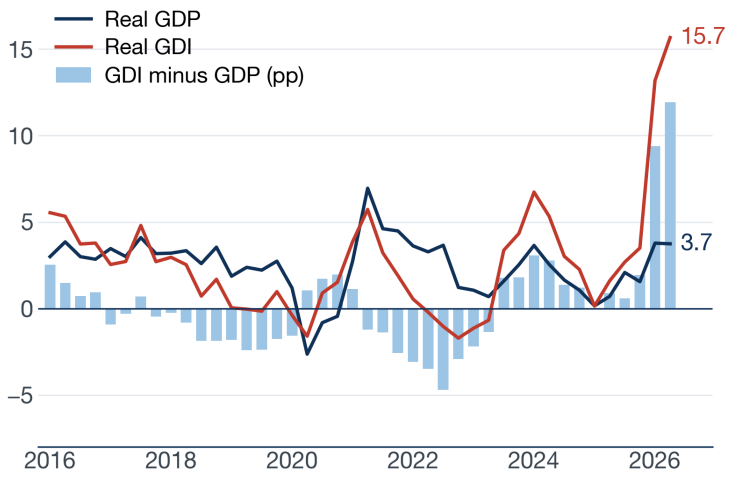
SECTION 03

Price, Not Quantity

- ❑ Real **GDI** outpaces real **GDP** by **12pp**: a terms-of-trade windfall
- ❑ Nominal GDP grew **26.4%** y/y in Q2 2026 vs **3.7%** real: export prices alone add **28pp**
- ❑ Semiconductor exports are up **186%** y/y in Q2 2026, mostly on **price** (+160%); volumes +9%

GDI vs GDP: Terms of trade

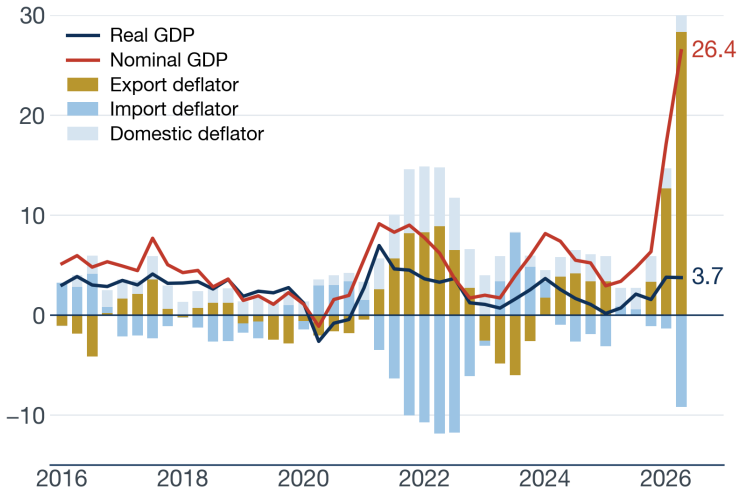
y/y %, pp



Source: Bank of Korea. *Note*: Original series, chained 2020 prices.

Nominal vs Real GDP: GDP deflator

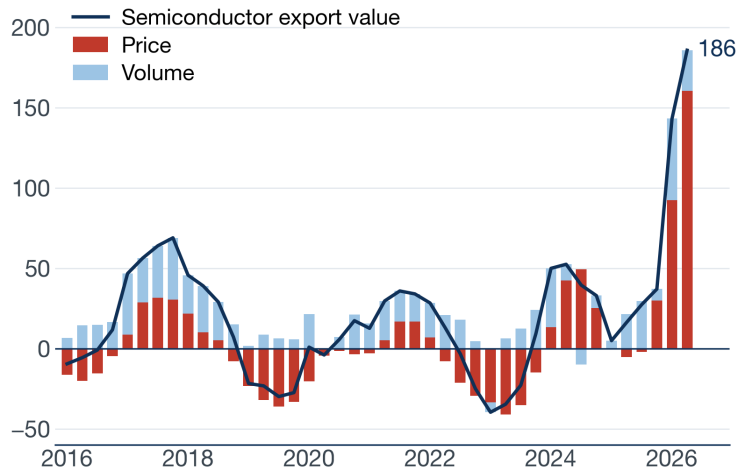
y/y %, pp



Source: Bank of Korea. *Note*: Bars = nominal minus real gr owth contributions of exports, imports (sign reversed) and domestic demand.

Semiconductor exports: price vs volume

y/y %, pp; quarterly avg. of monthly indices



Source: Bank of Korea. *Note*: Volume includes the interacti on term.

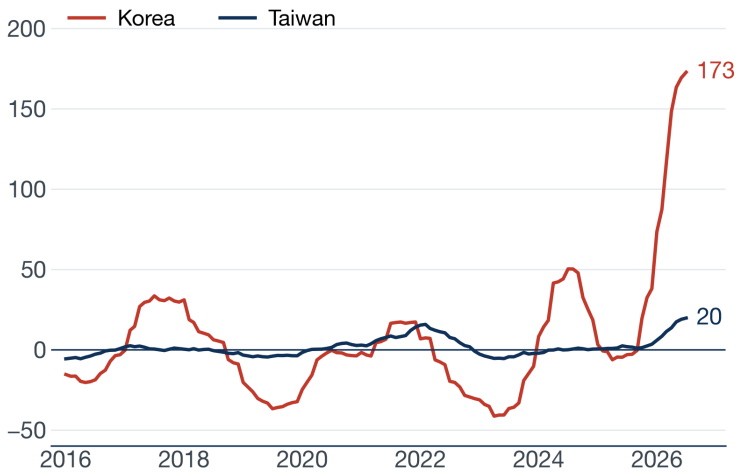
SECTION 04

Korea vs Taiwan

- The same AI investment shock hit the two chip exporters **differently**
  - **Korea**: commodity-like memory chipmaker; **Taiwan**: order-based contract manufacturer (foundry)
- How should we read Korea's price surge?
  - How does it compare with commodity price upswings or supply bottlenecks?

Semiconductor export prices

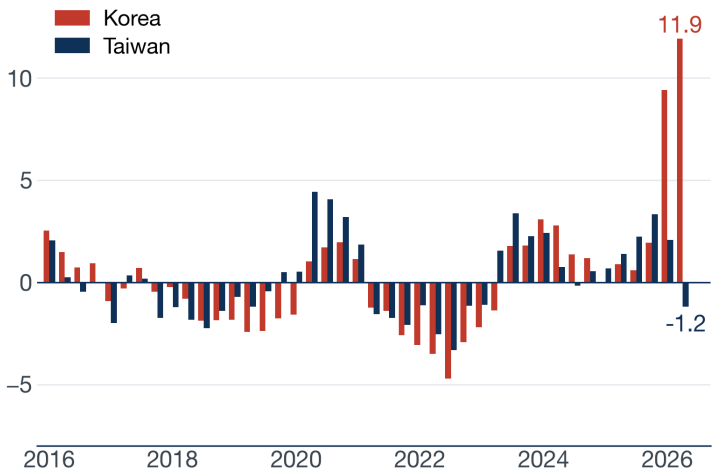
y/y %, USD basis



Source: Bank of Korea; Taiwan DGBAS.

Real GDI minus real GDP growth

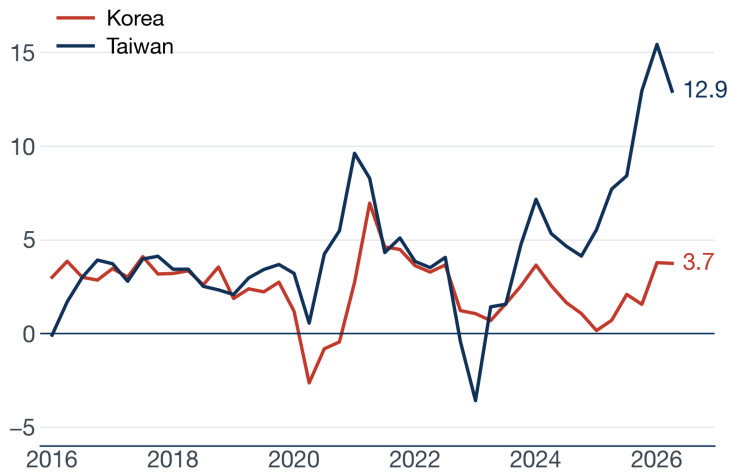
pp



Source: Bank of Korea; Taiwan DGBAS. *Note*: Real GDI for Taiwan is an estimate.

Real GDP growth

y/y %



Source: Bank of Korea; Taiwan DGBAS.

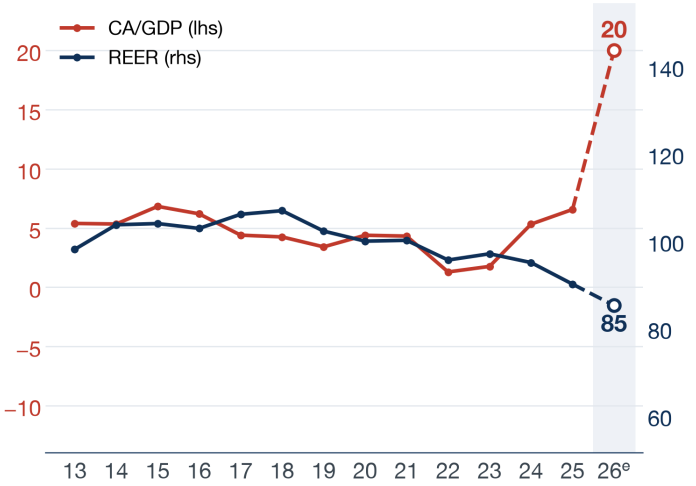
SECTION 05

External Balance

- The large CA surplus has put almost *no appreciation pressure* on the **KRW** (until recently)
  - Financial shocks, not trade shocks, have been the dominant driver (Kim and Kim 2026)
- NFA fell **93%** in H1 2026 (886bn→64bn): too abrupt a move to capture "slow-moving" forces
- **Excess-adjusted NFA**: Korea's 2026 CA gap would widen by a further **0.74pp** (Kim 2026)

Current account and REER

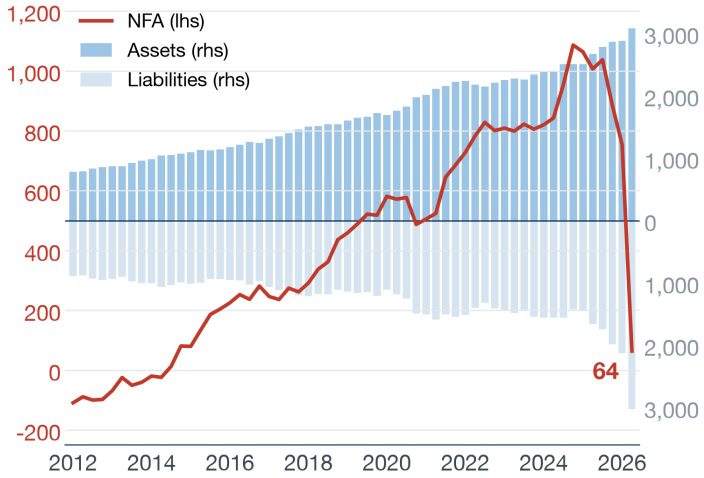
% of GDP (lhs); index, 2020=100 (rhs)



Source: Bank of Korea; World Bank; BIS. *Note*: 2026 CA/GDP is BOK estimate. REER = BIS broad index, annual average (2026 = Jan–Jul); up = KRW appreciation.

Korea's NFA: asset and liability

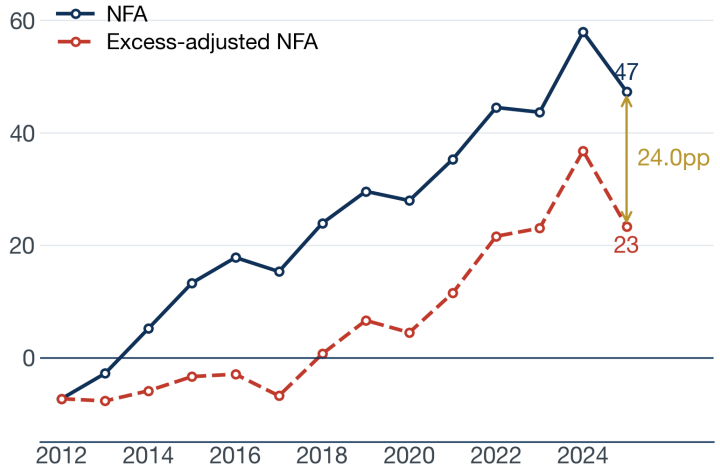
USD bn, end of quarter



Source: Bank of Korea *Note*: NFA on the left axis; assets and liabilities on the right axis.

NFA and excess-adjusted NFA, Korea

% of GDP, 2012 anchor



Source: Bank of Korea; IMF; authors. *Note*: Excess-adjusted NFA removes cumulative CA gaps since 2012, discounted at Korea's average nominal GDP growth; coefficient $\hat{\phi} = 0.031$ is applied.

Concluding Remarks

- ❑ "World has shifted from Global Savings Glut to Global Investment Surge" (Fed Chair Warsh at G20)
  - Semiconductors are a necessary intermediate good for AI investment
- ❑ Korea is like a "commodity" exporter whose CA swings with the "commodity price" of the AI era
  - The chip price surge is expected to ease as capacity constraints loosen ("time-to-build")
- ❑ Aggregate domestic absorption remains subdued but is expected to rise with a lag (Lee, Kim and Han 2026; Jung and Lee 2026)
  - This will then bring down $CA = S - I$ in the next few years
- ❑ Open question: how should we assess Korea's 2026 external balance?
  - What is the source of the shock(s)? What can and cannot the EBA model tell us about it?

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